The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS

SOX (WED CLOSE)
11,505.56 +1.97% · MU $913.67 (+1.96%) · LRCX $260.52 (−1.11%), −6.25% after hours · KOSPI 11:20 KST 5,605.54 (−2.25%, intraday)

DDR5 16GB SPOT
$61.10 +0.38% · TrendForce 2026-10-22 11:00 GMT+8 · DDR4 16Gb $83.117 (flat) · NAND 512Gb TLC wafer $18.592 (−1.28% wk)

LEAD STORY

EQUIPMENT · DURATION OF THE CYCLE

Lam Sees 2027 Tool Spending Above $200 Billion, Led by DRAM, as Micron Sees Two More Years of Shortage

Both argue for a long upcycle. But a DRAM-led jump in tool spending is also how the next glut starts.

By the Memory Cycle Desk · Tel Aviv · Data as of ~08:16 IDT · Korea prices intraday · CONFIRMED unless marked

KEY NUMBERS · THE CYCLE IN NUMBERS

LAM RESEARCH, SEP QUARTER

Revenue (q/q)	**$8.22B (+22%)**
Dec-Q guide	**$8.60B ±$0.4B**
Memory share of systems	**46% (+120% y/y)**
DRAM / NAND share of systems	**20% / 26%**

WAFER-FAB EQUIPMENT (LAM)

CY26 / CY27	**mid-$150Bs / >$200B**
New tier-1 fabs in 2027	**10**

MICRON WEBINAR

Shortage	**“at least two years”**
1-delta DRAM (2H27)	**mid-20% density gain**
G11 NAND (2H27)	**>400 layers, 2× G9**
MU close / after hours	**$913.67 / $898.31**

Sources: Lam Research press release and call transcript (Investing.com); Micron via Stocktwits/Yahoo Finance; after-hours prices from Investing.com and public.com (aggregators, secondary).

Lam Research reported record September-quarter revenue of **$8.22 billion**, up 22% from June, with a 52.4% non-GAAP gross margin, and guided December to **$8.60 billion ±$400 million**. CEO Tim Archer put 2026 wafer-fab equipment spending in the “mid-$150 billion range” and gave a preliminary 2027 outlook of **“more than $200 billion… percentage growth led by DRAM, followed by leading-edge foundry logic and NAND.”** Customer visibility extends “through 2028,” but cleanroom space and component supply will cap 2027 deliveries. Ten new tier-1 fabs open next year. Memory was a record 46% of systems revenue, and each point of NAND bits shifted to SLC-class devices needs about **2% more wafer capacity**.

Micron said at its technology webinar that the shortage will last **at least two years**; CTO Scott DeBoer said, “we actually don’t see a time when it comes into balance,” as HBM and vertical HBM use more wafers per bit. It called rival $4F^2$ DRAM “a bit of a myth.” Micron closed at $913.67, about 40% below its June record.

Our call: late upcycle, tight through 2027, unchanged; a touch tighter on duration, with a louder 2028 supply flag. CYCLE SIGNAL: LONG TIGHT, CAPEX RISING

TAIWAN · LABOR

Micron Signs a Deal With Its Largest Taiwan Union; Taoyuan Officers Strike for a Day



Photo: Grace Hung, Taipei Times

Micron's Taichung union, at its largest Taiwan site, signed a labor-management agreement and both sides withdrew from Thursday's mediation; terms were not disclosed (Reuters). The Taoyuan union said Micron "failed to provide specific figures" on profit-sharing, and **11 union officers** began a 24-hour strike at 09:00 Taiwan time Thursday (04:00 IDT). The union will poll members on the company's proposal (CNA). TrendForce says Taoyuan makes front-end DRAM wafers while Taichung handles advanced DRAM, HBM and packaging, so a one-day action is "likely limited." CYCLE SIGNAL: SUPPLY RISK EASING

KOREA · FLOWS

Seoul Gives Back Wednesday's Rally as ₩55 Trillion of Chipmaker Buybacks Run Out

The Kospi rose 3.29% to 5,735.66 on Wednesday (Yonhap Infomax), then reversed: at 11:20 KST Thursday it was **down 2.25% at 5,605.54**, Samsung −3.36% and SK hynix −3.63% (Yonhap), both about −4% near 13:00 (Hankyung). **Intraday, not closes.** SK hynix finished its ₩40.43 trillion buyback on Oct. 21, a month early; Samsung's ~₩15 trillion ended Oct. 6 (MK). KB puts them at 3.3× and 2.7× earnings.
FLOWS WEAK, CHEAP

CHINA · SUPPLY

CXMT Approves a ¥34.9 Billion R&D Plan and Promises 4F² Server DRAM This Year

CXMT shareholders approved ¥34.9 billion for advanced DRAM R&D and back-end investment. It estimates 1–3Q revenue of ¥265–270 billion (more than 7× a year earlier) and plans 4F² server DRAM "within the year," with no specs (Global Economic). Counterpoint, relayed on X, says YMTC is researching 4F² too UNCONFIRMED. 2028 SUPPLY RISK

IN BRIEF · GTC BERLIN AND SPOT PRICES

Nvidia Ships Vera Rubin AI Factories by Truck; DDR5 Spot Firm, NAND Soft

GTC Berlin. Nvidia's DSX Pod puts seven Vera Rubin racks in a truck-shippable container, cutting time to serve tokens from six months to 14 days; deliveries start early 2027 (CNBC). Jensen Huang said Nvidia's content per gigawatt is "now $40-plus billion" and "going to keep going up." No new HBM figures.
DEMAND STRONG

Spot. DDR5 16Gb rose 0.38% to **$61.10**, with buyers unable to secure allocation; DDR4 16Gb was flat at $83.117. NAND 512Gb TLC wafers fell **1.28% to $18.592** in the week of Oct. 19 on weak module-house demand and high inventory (TrendForce). DRAM FIRM, NAND SOFT

FROM THE INBOX · SINCE OCT 21, 08:10 IDT

NEW **"Positive for the cycle, negative for the trade."** The semis digest's read on Lam: Sep-Q $8.22B vs Street $8.14B; Dec guide in line; Jefferies keeps Buy (PT $335), raising 2027 revenue 8% and EPS 10%, with SLC "a new driver." Memory: "fundamentals positive, tape negative." Semis digest; Jefferies, Oct 22

NEW **China kept buying tools.** September chip-equipment imports $5.90B (−4% y/y, +24% m/m), the third-highest month; US-origin −34%, Singapore +52%. Jefferies, Oct 22

ON X · SINCE LAST EDITION · TIMES IDT

@Schulz_Research · Oct 21 20:28
Micron CTO: *"we actually don't see a time when it comes into balance."*
x.com/.../2112959213043642753

@intelfabs · Oct 22 03:30
Samsung, SK hynix already pricing a 2027 downcycle? (JPM chart). Reply from @pequityresearch: *"good old cyclical."*
x.com/.../2113065516755783696

@pequityresearch · Oct 22 00:14
Lam: CY26 WFE mid-$150B, CY27 more than $200B, led by DRAM.
x.com/.../2113016058617716930

@jukan05 · Oct 22 05:38 UNCONFIRMED
Counterpoint: YMTC researching 4F² DRAM for Fab 3.
x.com/.../2113097637666975858

CYCLE TRACKER · UNCHANGED: TIGHT FOR LONGER, LOUDER 2028 SUPPLY FLAG

GAUGE	TODAY VS OCT 21 (KPI WATCH LIST)	NUDGE
Contract ROC	No new print; Q4 DRAM +20% / NAND +30% (carry)	**Slowing**
Spot vs contract	DDR5 $61.10 (+0.38%); DDR4 $83.12 vs $50 contract; NAND −1.28% wk	**DRAM firm**
Lead times	No update; DRAM ~20 wks, NAND ~16 vs ~8 normal (carry)	**Tight**
Inventory	NAND module-house stock high; DDR5 buyers short of allocation (TF)	**Mixed**
Capex growth	CY27 WFE >$200B vs mid-$150Bs (~+30%), DRAM-led, cleanroom-capped	**2028 flag**
HBM share	No new data (Q2: SKH 50%, Samsung 33%); Micron HBM4 in volume	**Unchanged**
CXMT supply	¥34.9B R&D; 4F² server DRAM "within the year"; revenue >7× y/y	**Rising**
P/E and P/B	Samsung 3.3×, SK hynix 2.7× P/E (KB); MU ~40% below June high	**Cheap**
Guidance	Lam beat, Dec guide in line; Micron sees no balance point	**Firm**

VERDICT
Late upcycle; tight through 2027, unchanged. A touch tighter on duration: Micron sees at least two more years of shortage with no balance point in sight, and Lam's customers have visibility through 2028. The 2028 supply flag is louder: DRAM-led 2027 tool spending above $200 billion and CXMT's 4F² push. The tape is the weak link: Seoul −2% to −4% intraday after Wednesday's +3.29%, with ₩55 trillion of buybacks finished.

EVENTS CALENDAR · OCT 22–NOV 5 · ISRAEL TIME (IDT TO OCT 24, THEN IST)

Thu 22	Micron Taoyuan strike to 04:00 Fri · Jefferies call 16:00 · WDC AMC	Supply
Tue 27	Seagate FQ1 AMC (call 23:00) · Ultra Clean	HDD
Wed 28	SK hynix 3Q26 02:00 · FOMC 20:00 · KLA AMC	HBM
Thu 29	Samsung 3Q26 03:00 · Sandisk FQ1 AMC (call 22:30)	HBM
Fri 30	Kioxia 11:45 · Tokyo Electron · TF Oct contracts (expected)	NAND
Sat 31–Tue Nov 3	CXMT Q3 · Korea Oct exports (Nov 1 ~02:00) · Supermicro final Q1 (Nov 3)	China

SOURCES & FURTHER READING

- Lam Research: results for the quarter ended Sep 27, 2026
- CNA: Micron Taoyuan union officers strike (Chinese)
- TrendForce: memory spot update, DDR5 tight
- Yahoo Finance: Micron says rival DRAM design a myth
- Global Economic: CXMT ¥34.9B R&D, 4F^2 server DRAM

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #16 · Oct 22, 2026